

Credent Asset Management Services Private Limited

Outsourcing Policy

Credent Asset Management Services Pvt. Ltd.

Mumbai office: 306, B2, Shubham Centre, Cardinal Gracious Road, Chakala, Andheri (East), Airport (Mumbai),
Maharashtra, India, 400099

CIN: U65923MH2014PTC258173

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DISCLAIMER

In providing a set of principles through which Credent Asset Management Services Private Limited intends to manage, we intend that this document should be for guidance only. Accordingly, this document (“Policy”) is being provided (to the extent permitted by law) without liability. The document is not intended to create third party rights or duties.

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INTRODUCTION

Credent Asset Management Services Private Limited (“Credent”) registered with Securities and Exchange Board of India (“SEBI”) bearing registration No INP000006101 as a Portfolio Manager.

SEBI has issued circular no. CIR/MIRSD/24/2011 dated December 15, 2011 (“SEBI Circular”) providing guidelines on outsourcing of activities by intermediaries. These guidelines were issued by SEBI to guide the intermediaries to assess various risks involved in outsourcing e.g. operational risk, reputational risk, country risk, counter party risk, etc.

Credent is adopting this Policy to assess which activities can be outsourced, to whom they can be outsourced and the checks and balances to be performed before and during such outsourcing arrangement.

OBJECTIVES

The Policy aims to have a structured approach for efficiently identifying a business opportunity that needs to be outsourced and effectively turning it into low risk, low cost, scalable and high service deliverables within regulatory framework. The Policy shall cover activities or the nature of activities that can be outsourced, the authorities who can approve outsourcing of such activities, and the selection of an Agent/ Service Provider to whom it can be outsourced. Policy would be effectively used for reviewing a new contract / amending an existing contract on outsourcing of activities by Credent.

REGULATORY BACKGROUND AND APPLICABLE REGULATIONS

- ◆ SEBI (Alternative Investment Funds) Regulations, 2012.
- ◆ SEBI (Portfolio Managers) Regulations, 2020 and
- ◆ SEBI circular no. CIR/MIRSD/24/2011 dated December 15, 2011 Guidelines on Outsourcing of Activities.

IMPLEMENTATION / PROCESS

1. Definition of ‘Outsourcing’

Outsourcing may be defined as the use of one or more than one third party – either within or outside the group – by a SEBI Registered Intermediary (“Intermediary”) to perform the activities associated with services which the intermediary offers.

2. Scope

This Policy will be applicable for all contracts/agreements to be entered for the purpose of outsourcing of certain operations/servicing related activities by Credent to any third party ("Agent/ Service Provider") entered into for this purpose.

3. Guidelines that need to be followed by Credent while considering a proposal to outsource any activity

SEBI vide circular no. CIR/MIRSD/24/2011 dated December 15, 2011 has laid down certain principles for Outsourcing of activities by the Intermediaries. Based on those principles, following guidelines need to be followed by Credent while considering a proposal to outsource any activity:

- I. **Principal responsibility:** The Management of Credent shall have the principal responsibility of the Policy, activities undertaken under the Policy and to ensure that all the activities are carried out as per the Policy.
- II. **Nature of activities that can be outsourced:** Except the core business activities i.e. Investment related activities for, Alternative Investment Funds and Portfolio Management Services, and the compliance function including reporting of any suspicious transactions/reports to Financial Intelligence Unit ("FIU") or any other competent authority in respect of activities carried out by the third party, all other activities of Credent can be outsourced post a detailed analysis. Further, for all KYC related requirements, Credent shall comply with the provisions of SEBI {KYC (Know Your Client) Registration Agency} Regulations, 2011 and guidelines issued by SEBI from time to time.
- III. **Risk Management:** Please refer to point no 4 of the Policy.
- IV. **Periodic review:** Each outsourcing arrangement shall be reviewed periodically.
- V. **Accountability and liability**
 - i. Credent shall be fully liable and accountable for the activities that are outsourced.
 - ii. Credent shall ensure that outsourcing arrangement shall neither diminish its ability to fulfil its obligation to customers and/or regulator, nor impede effective supervision by regulator/auditors.
 - iii. The outsourcing arrangement shall not affect the rights of the investors/clients against Credent in any manner.

- iv. Credent shall be liable to the investors for the loss incurred by them due to the failure of the Agent in performing their duties and also be responsible for redressal of grievances received from investors arising out of activities rendered by the Agent.
- v. The facilities / premises / data that are involved in carrying out the outsourced activity by the Agent shall be deemed to be those of Credent. Credent itself and SEBI or the persons authorized by it shall have the right to access the same at any point of time.
- vi. The outsourcing arrangements shall not impair the ability of SEBI or auditors to exercise their regulatory responsibilities such as supervision inspection of Credent.

VI. Outsourcing to Group entity / Associate: An activity can be outsourced to a group entity / associate subject to the following:

- i. Arm's length distance is ensured in terms of infrastructure, manpower, decision-making, record keeping etc. for avoidance of potential conflict of interest.
- ii. The contractual agreement shall contain the necessary disclosures to that effect.
- iii. The risk management system/measures shall remain constant vis-à-vis non-group/associate entities.
- iv. Any outsourcing to associate shall be in compliance with SEBI AIF Regulation, SEBI (Portfolio Managers) Regulations and Fund Documents in case of Fund and , Disclosure Document in case of Portfolio Manager.

VII. Record keeping: Records relating to all outsourced activities shall be maintained centrally so that they are readily accessible to Credent and the senior management for review, as and when required. The diligence records of the Agent shall be regularly updated.

VIII. Audits: The internal or external auditors of Credent may periodically review the outsourcing policy, risk management systems on outsourcing and regulatory requirements as part of their mandate.

IX. Contractual arrangement: The Outsourcing arrangements shall be governed by a clearly defined and legally binding written contract between Credent and each of the concerned third parties. Credent shall ensure that the contract includes terms given in point no.6 of Policy.

X. Disaster recovery ("DR") and Business Continuity Plan ("BCP"):

- i. Credent and each Agents shall have independent and adequate DR and BCP systems in place.
- ii. Special attention should be on IT security and data backup.
- iii. Periodic review should be done by Credent of the said DR and BCP systems to confirm the adequacy of Credent as well as the Agent's systems.
- iv. Specific contingency plans shall be separately developed for each outsourcing Arrangement by Credent.

XI. Confidentiality: The Service Providers shall pay specific attention to the process of handling of confidential information of Credent and its clients from intentional or inadvertent disclosure to unauthorized persons by the Agents. The same shall be properly captured in the agreements executed with the Agent/ Service Provider. Credent shall ensure that the employees of the Agent have limited access to the data handled and only on a "need to know" basis and the Agent shall have adequate checks and balances to ensure the same. Special attention on confidentiality is required in cases where an Agent handles multiple intermediaries.

XII. Concentration at Agent level: In instances, where the Agent acts as an outsourcing agent for multiple intermediaries, Agent and Credent to ensure that strong safeguards are put in place so that there is no co-mingling of information/documents, records and assets.

4. Risk Assessment

A risk impact assessment based on different risk parameters shall be done on the following grounds:

- i. The scope and materiality of outsourced activity;
- ii. Failure of an Agent to adequately perform the activity on the financial, reputational and operational performance of Credent and on the investors / clients;
- iii. Suitable back-up arrangements by Credent to cope up with the work, in case of non-performance or failure by an Agent;
- iv. Regulatory status of the third party, including its fitness and probity status;
- v. Situations involving conflict of interest between Credent and the Agent and the measures to address the same.

5. Comparison & Evaluation/Due Diligence of Service Providers

Credent shall conduct appropriate due diligence in selecting the third party and in monitoring of its performance. The due diligence undertaken shall include assessment of:

- i. Service provider's resources and capabilities, including financial soundness and operational competence, to perform the outsourcing work within the timelines fixed;
- ii. Compatibility of the practices and systems of the Service Provider with Credent's requirements and objectives;
- iii. Market feedback of the prospective Service Provider's business reputation and track record of their services rendered in the past;
- iv. Level concentration of the outsourced arrangements with a single Service Provider; and
- v. The environment of the foreign country where the Service Provider is located.

6. Service Level Agreement ("SLA")/Agreement and Non-Disclosure Agreement ("NDA")

Outsourcing relationships shall be governed by written contracts / agreements / terms and conditions which clearly describe all material aspects of the outsourcing arrangement, including the rights, responsibilities and expectations of the parties to the contract, client confidentiality issues, termination procedures, etc. Respective department will then work towards finalization of SLA & NDA. Care should be taken to ensure that the outsourcing contract:

- i. clearly defines what activities are being outsourced, including appropriate service and performance levels;
- ii. provides for mutual rights, obligations and responsibilities of Credent and the Service Provider, including indemnity by the parties;
- iii. provides for the liability of the Service Provider to Credent for unsatisfactory performance/other breach of the contract;
- iv. provides for the continuous monitoring and assessment by Credent of the Service Provider so that any necessary corrective measures can be taken up immediately, i.e., the contract shall enable Credent to retain an appropriate level of control over the outsourcing and the right to intervene with appropriate measures to meet legal and regulatory obligations;
- v. includes where necessary, conditions of sub-contracting by the Service Provider, i.e. the contract shall enable intermediary to maintain a similar control over the risks when the Service Provider outsources to further third parties as in the original direct outsourcing;
- vi. has unambiguous confidentiality clauses to ensure protection of proprietary and customer data during the tenure of the contract and also after the expiry of the contract;
- vii. specifies the responsibilities of the Service Provider with respect to the IT security and contingency plans, insurance cover, business continuity and disaster recovery plans, periodic testing of back up facilities, force majeure clause, etc.;

- viii. provides for preservation of the documents and data by the Service Provider;
- ix. provides for the mechanisms to resolve disputes arising from implementation of the outsourcing contract;
- x. provides for termination of the contract, termination rights, transfer of information and exit strategies;
- xi. addresses additional issues arising from country risks and potential obstacles in exercising oversight and management of the arrangements when intermediary outsources its activities to foreign Agent. For example, the contract shall include choice-of-law provisions and agreement covenants and jurisdictional covenants that provide for adjudication of disputes between the parties under the laws of a specific jurisdiction;
- xii. neither prevents nor impedes Credent from meeting its respective regulatory obligations, nor the regulator from exercising its regulatory powers;
- xiii. provides for Credent and /or the regulator or the persons authorized by it to have the ability to inspect, access all books, records and information relevant to the outsourced activity with the Agent;
- xiv. frequency of review of Contract/SLA/Business reviews is clearly defined; and
- xv. procedure for corrective/preventive action to be taken with respect to observation discussed during Business/SLA reviews and Audit Report of service provider's auditors.

POLICY REVIEW

This Policy shall be reviewed as and when there are any regulatory changes are introduced or as and when it is found necessary to change the Policy due to business needs. However, Policy shall be reviewed at least annually.

The Board of Credent will be the approving authority for the Policy.

RESPONSIBILITY

The Compliance Officer of the Fund will be responsible for implementation of the Policy.

VIOLATION

If anyone is found in violation of this Policy, he/she will be liable for appropriate action by appropriate authority.

DEVIATION TO FRAMEWORK

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Major deviations to the Policy shall be approved by the Board; all other deviations shall be approved by CEO of Credent and the Compliance Officer of the Fund.

POWER TO REMOVE DIFFICULTIES

In order to remove any difficulties in the application or interpretation of this Policy, the Compliance Officer of the Fund shall have the power to issue clarifications.

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